Practice workbook · Ratio formulas and how to calculate them

Stating the formulas for the profitability and liquidity ratios in the specification and calculating them from statement figures.

6 question parts: 1 worked-example retry and 5 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-FS-07

1. Question 2 · part b.i · 4 marks

2024 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part b.i only.

2 Bob, a sole trader, provided the following information at 29 February 2024.

	$
Allowance for doubtful debts	346
Bank loan (2028)	10 000
Cash at bank	2 198
Cash in hand	289
Drawings	5 552
Equity – 1 March 2023	30 000
Fixtures and fittings (carrying value)	11 900
Inventory	8 531
Motor vehicles (carrying value)	15 400
Other payables	211
Other receivables	600
Profit for the year	8 083
Trade payables	4 320
Trade receivables	8 490

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1. Question 2 · part b.i · 4 marks

2024 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part b.i only.

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(a) Prepare the statement of financial position for Bob at 29 February 2024.

(10)

Bob

Statement of financial position at 29 February 2024

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1. Question 2 · part b.i · 4 marks

2024 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part b.i only.

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1. Question 2 · part b.i · 4 marks

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Worked-example retry · Attempt part b.i only.

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(b) (i) Calculate Bob's current (working capital) ratio and the liquid (acid test) ratio, stating the formula used. Answers should be given to **two** decimal places.

(4)

Ratio	Formula	Answer
Current (working capital)		
Liquid (acid test)		

(ii) Evaluate **both** ratios and state whether Bob should be satisfied with these figures.

(5)

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1. Question 2 · part b.i · 4 marks · Working and answer

Working and answer

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2. Question 1 · part b.i · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b.i only.

1 Dina, a manufacturer, prepared the following **incorrect** manufacturing account for the year ended 31 March 2022 from the **correct** balances in her trial balance.

Dina
Manufacturing account for the year ended 31 March 2022

	$	$
Revenue	385 000	
Depreciation charge – plant and machinery	11 200	
		373 800
Cost of sales		
Inventory of raw materials 31 March 2022	10 400	
Carriage outwards	360	
	10 040	
Purchases of raw materials	98 400	
Inventory of raw materials 1 April 2021	(9 640)	
		(98 800)
Prime cost		275 000
Factory overheads		
Royalties	1 780	
Insurance	4 000	
Electricity	9 750	
Factory rent	14 000	
Direct wages	38 400	
Indirect wages	(25 700)	
		(42 230)
Work in progress at 31 March 2022	4 430	
Work in progress at 1 April 2021	(4 200)	
Inventory of finished goods at 31 March 2022	5 850	
Inventory of finished goods at 1 April 2021	(6 750)	(670)
Production cost		232 100

Additional information

- No adjustment had been made for indirect wages owing of $1 300 and factory rent paid in advance of $2 000
- The depreciation charge did not include a full year's depreciation charge on a new machine costing $30 000. Machinery is depreciated at the rate of 20% per annum using the straight line method.
- Insurance and electricity should have been apportioned 80% to the factory and 20% to administration.

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2. Question 1 · part b.i · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b.i only.

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(a) (i) Prepare the **corrected** manufacturing account for the year ended 31 March 2022.

(13)

Dina
Manufacturing account for the year ended 31 March 2022

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2. Question 1 · part b.i · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b.i only.

(ii) Prepare the income statement for the year ended 31 March 2022 showing the **trading section** only.

(4)

Dina
Income statement for the year ended 31 March 2022

Dina stated that she did not have a successful year as her gross profit percentage decreased by 5%.

The following ratios were also available.

Ratio	31 March	
	2021	2022
Profit for the year as a percentage of revenue	7.56%	8.93%
Return on capital employed	14.85%	16.67%

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2. Question 1 · part b.i · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b.i only.

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(b) (i) State the formula for **each** ratio.

(3)

Ratio	Formula
Gross profit percentage	
Profit for the year as a percentage of revenue	
Return on capital employed	

(ii) Evaluate whether Dina is correct in her view that she did not have a successful year.

(5)

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(Total for Question 1 = 25 marks)

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2. Question 1 · part b.i · 3 marks · Working and answer

Working and answer

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3. Question 1 · part c.i · 2 marks

2023 JAN · Paper 02

Further practice · Attempt part c.i only.

1 (a) State, indicating with a tick (✓), where each item will be shown in the financial statements of a manufacturer.

(6)

	Manufacturing account		Income statement	
	Prime cost	**Factory overheads**	**Income**	**Expenditure**
Wages – production staff				
Wages – office staff				
Wages – factory supervisor				
Carriage outwards				
Decrease in provision for irrecoverable debts				
Royalties paid				

Bella and Chand are in partnership sharing profits and losses equally. They provided the following information at 30 September 2022.

	$
Capital Accounts	
Bella	50 000
Chand	50 000
Current Accounts	
Bella	10 500
Chand	3 450
Property, plant and equipment	
Cost	65 000
Provision for depreciation	18 050
Provision for irrecoverable debts	380
Bank	4 775
Inventory	38 800
Other payables	430
Petty cash	125
Trade payables	3 490
Trade receivables	27 600

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3. Question 1 · part c.i · 2 marks

2023 JAN · Paper 02

Further practice · Attempt part c.i only.

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(b) Prepare the statement of financial position at 30 September 2022.

(12)

Bella and Chand
Statement of financial position at 30 September 2022

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3. Question 1 · part c.i · 2 marks

2023 JAN · Paper 02

Further practice · Attempt part c.i only.

(c) (i) State the formula for **each** ratio.

(2)

Ratio	Formula	2021	2022
Profit for the year as a percentage of revenue		15%	18%
Return on capital employed		7%	5%

(ii) Evaluate the change in profitability from 2021 to 2022.

(5)

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(Total for Question 1 = 25 marks)

3. Question 1 · part c.i · 2 marks · Working and answer

Working and answer

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4. Question 2 · part e · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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2 On 1 January 2022 Belen and Charo started a partnership with capital introduced of $80 000 and $90 000 respectively.

The partnership agreement provides for:

- profits and losses to be shared equally
- interest of 5% per annum on opening capital balances
- interest of 8% per annum on total drawings
- a salary of $2 000 per **month** for Charo.

(a) State **one** reason why a partnership agreement provides for:

(i) interest on capital

(1)

(ii) interest on drawings

(1)

(iii) partnership salary.

(1)

Profit for the year ended 31 December 2022 was $66 200 and the partners made the following drawings.

Partner	Cash drawings $	Goods taken for own use $
Belen	20 000	–
Charo	36 000	2 000

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4. Question 2 · part e · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

(b) Prepare the appropriation account for the year ended 31 December 2022.

(8)

Belen and Charo
Appropriation Account for the year ended 31 December 2022

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4. Question 2 · part e · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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(c) Prepare the following accounts for the year ended 31 December 2022. Balance each account on this date and bring the balance down on 1 January 2023.

(8)

Capital Account – Charo

Date	Details	$	Date	Details	$

Current Account – Charo

Date	Details	$	Date	Details	$

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4. Question 2 · part e · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

The partners provided the following information for the year ended 31 December 2022.

Ratio	Actual percentage	Budgeted percentage
Gross profit percentage	50%	60%
Profit for the year as a percentage of revenue	25%	20%

The partners believe that overall profitability has exceeded their expectations.

(d) Evaluate whether the partners are correct that profitability has exceeded their expectations.

(5)

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(e) State **one other** profitability ratio.

(1)

(Total for Question 2 = 25 marks)

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4. Question 2 · part e · 1 mark · Working and answer

Working and answer

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5. Question 1 · part f.i · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part f.i only.

1 Mia provided the following information at 1 January 2019.

	$
Bank	5 750 Cr
Fixtures and fittings (cost $60 000)	48 000
Inventory	20 000
Other receivables	1 100
Trade payables	34 950
Trade receivables	40 000

(a) Calculate the equity at 1 January 2019.

(3)

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5. Question 1 · part f.i · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part f.i only.

During the year ended 31 December 2019

- sales were $210 000
- purchases were $155 000
- Mia took $3 000 in goods and $15 150 in cash for personal use
- Mia introduced her private motor vehicle valued at $10 000
- profit for the year as a percentage of revenue was 10%.

At 31 December 2019 the inventory was valued at $25 000

(b) Prepare an extract of the income statement for the year ended 31 December 2019 showing the **trading section** only.

(6)

Mia

Income statement for the year ended 31 December 2019

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5. Question 1 · part f.i · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part f.i only.

(c) Prepare an extract of the statement of financial position at 31 December 2019 showing the **equity section** only.

(5)

Mia

Statement of financial position at 31 December 2019

Equity

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(d) State **two** factors that cause non-current assets to depreciate.

(2)

1 .....

2 .....

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5. Question 1 · part f.i · 2 marks

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Further practice · Attempt part f.i only.

(e) State **two** concepts that apply when depreciating non-current assets.

(2)

1 .....

2 .....

(f) (i) State the formula for each ratio.

(2)

Ratio	Formula	2019	2018
Current (working capital)		1.8:1	2:1
Liquid (acid test)		0.5:1	1:1

(ii) Evaluate the change in liquidity.

(5)

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(Total for Question 1 = 25 marks)

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5. Question 1 · part f.i · 2 marks · Working and answer

Working and answer

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6. Question 2 · part c.i · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part c.i only.

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2 Carl and Ming are in partnership sharing profits and losses equally. The partnership agreement also provided for:

- interest on opening capital at 8% per annum
- interest on total drawings at 9% per annum
- a salary for Ming of $18 000 per annum.

	Balances at 1 April 2021		Year ended 31 March 2022
	Capital Account $	Current Account $	Drawings $
Carl	75 000	3 150	24 000
Ming	50 000	900	26 000

On 1 January 2022 the partnership purchased a machine costing $10 000. This was fully funded by a 10% bank loan.

This transaction has not yet been entered in the books of account.

Depreciation is charged on machinery at 15% per annum using the straight-line method. A full year's depreciation is charged in the year of acquisition.

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6. Question 2 · part c.i · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part c.i only.

(a) Complete the income statement and appropriation account for the year ended 31 March 2022.

(8)

Carl and Ming
Income statement and appropriation account for the year ended 31 March 2022

	$	$
Draft profit for the year		42 140
Bank loan interest		
Depreciation charge		
Updated profit for the year		
Share of profit		
Carl		
Ming		

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6. Question 2 · part c.i · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part c.i only.

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(b) (i) Prepare the current account of Ming for the year ended 31 March 2022.
Balance the account on this date and bring the balance down on 1 April 2022.

(8)

Current Account – Ming

Date	Details	$	Date	Details	$

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6. Question 2 · part c.i · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part c.i only.

(ii) State what a **credit** balance on a partner's current account means.

(1)

(iii) State how a **debit** balance on a partner's current account may arise.

(1)

The partners believed that the liquidity of the business had improved and provided the following ratios.

Ratio	2021	2022
Current (working capital)	1.89:1	1.56:1
Liquid (acid test)	0.81:1	1.01:1

(c) (i) State the formula for **each** ratio.

(2)

Ratio	Formula
Current (working capital)	
Liquid (acid test)	

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6. Question 2 · part c.i · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part c.i only.

(ii) Evaluate whether the partners are correct that liquidity has improved.

(5)

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(Total for Question 2 = 25 marks)

6. Question 2 · part c.i · 2 marks · Working and answer

Working and answer

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